

📁 The FinWise scenario

You are a PM at FinWise Co., a SaaS company providing financial-management software to small businesses. FinWise recently reached product-market fit and wants to focus ▼

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Hypothesis

I think FinWise's biggest problem is a broken onboarding and activation experience within the reverse-trial flow, causing users to drop off before reaching their "aha moment" and discovering core product value.

- **IF [we do X change]:** We introduce an interactive, 3-step setup checklist on first login that guides users to connect a bank account and generate their first automated financial summary within 10 minutes.
- **THEN [Y metric] WILL [increase/decrease] BY [Z amount]:** THEN Day-7 Core Activation Rate WILL increase BY 25% (from ~15% to ~40%), lifting overall trial-to-paid conversion from 2% to 3.5%.
- **BECAUSE [underlying assumption]:** Reverse trials give users full access, but without structured setup guidance, small business owners experience feature overload, fail to see actionable financial insights, and abandon the trial.
- **WHICH WE'LL MEASURE WITH [method + timeframe]:** An A/B test run over 4 weeks targeting all new trial sign-ups, measuring Day-1 Core Action completion as the leading indicator and 14-day Trial Conversion Rate as the primary outcome metric.

Evidence

- **Severe Funnel Leakage (2% Conversion):** Converting only 2% of trial users into paying customers indicates a massive gap between initial user intent and value realization during the reverse-trial period.
- **Low One-Year Retention (40% Retention / 60% Churn):** High first-year churn signals that even users who convert were likely insufficiently onboarded into habits that drive long-term retention.
- **Paid Acquisition Bottleneck:** Paid ad spend has hit diminishing returns. Top-of-funnel volume is sufficient, but compounding growth is blocked by monetizing and retaining the traffic already coming through the door.

My Bet

First Test: A guided, outcome-focused onboarding wizard targeting primary financial setup tasks (bank integration & balance sheet view).

Why:

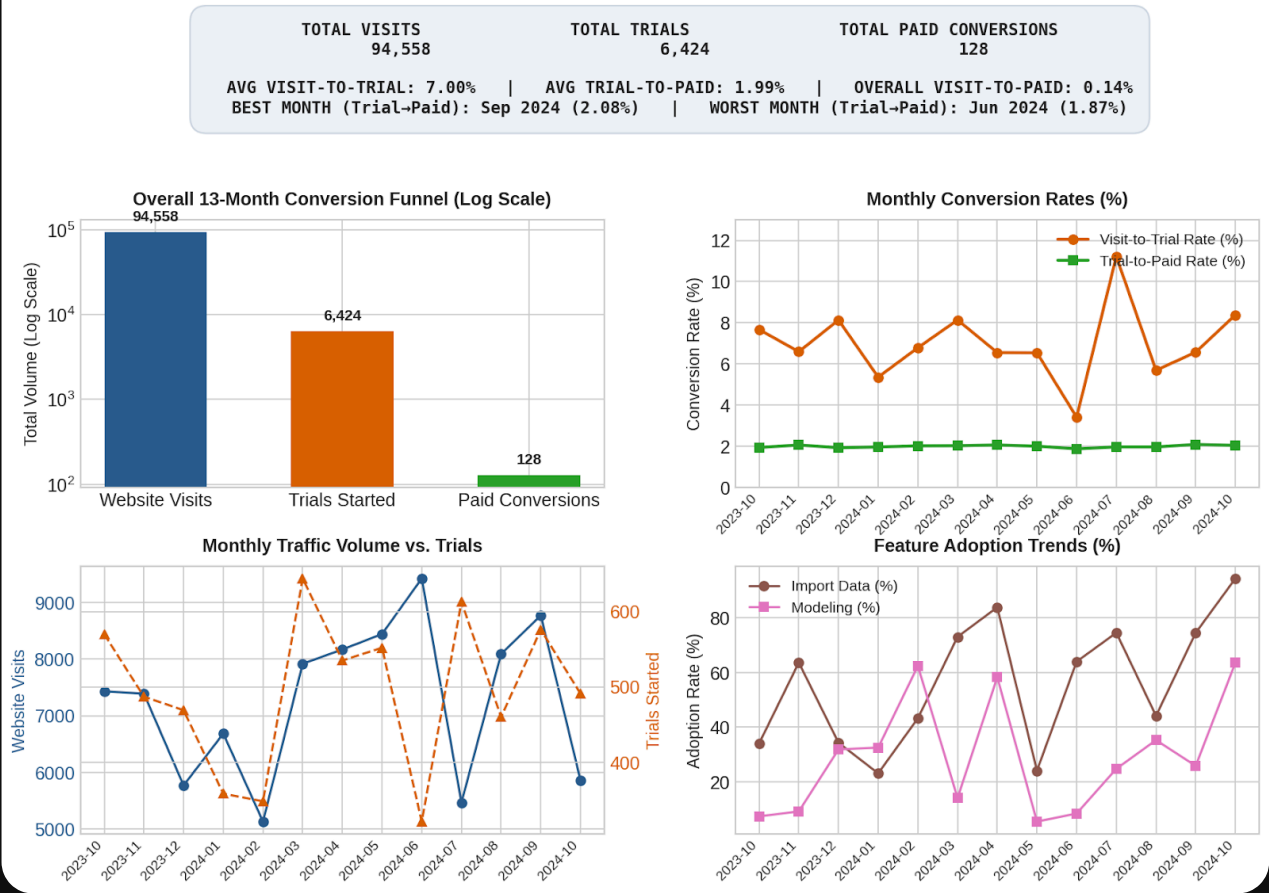
Fixing activation at the top of the product funnel yields the highest ROI. Improving the trial-to-paid conversion rate doubles the throughput of FinWise's existing paid marketing spend without requiring additional ad budget. Furthermore, users who build setup momentum on Day 1 are far more likely to integrate FinWise into daily financial routines, directly mitigating the 60% annual churn rate.

I'm going to share a dataset from a SaaS company called FinWise Co. They provide financial management software to small businesses and use a

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FinWise Co. - 13-Month Conversion Funnel Dashboard



Conversion Funnel Dashboard

Summary KPIs (13-Month Aggregate: Oct 2023 – Oct 2024)

Metric	Aggregate Value	Monthly Average
Website Visits	94,558	7,273.69
Trials Started	6,424	494.15
Paid Conversions	128	9.85
Visit-to-Trial Conversion Rate	6.79%	7.00%
Trial-to-Paid Conversion Rate	1.99%	1.99%
Overall Visit-to-Paid Conversion Rate	0.14%	0.14%

...

Performance Extremes:

- Best Performing Month (Trial-to-Paid %): September 2024 at 2.08% (12 paid / 576 trials)
- Worst Performing Month (Trial-to-Paid %): June 2024 at 1.87% (6 paid / 321 trials)
- Best Performing Month (Visit-to-Trial %): July 2024 at 11.21% (613 trials / 5,466 visits)
- Worst Performing Month (Visit-to-Trial %): June 2024 at 3.41% (321 trials / 9,426 visits)

Significant Patterns & Anomalies

- Extreme Flatness of the Trial-to-Paid Conversion Rate:** Across all 13 months, the conversion rate from trial to paid customer remains restricted within a narrow range between 1.87% and 2.08% (averaging 1.99%). Paid conversions scale strictly linearly with trial volume ($R = 0.99$).
- Inverse Relationship Between Website Traffic Volume and Trial Conversion Rate:** High website traffic months do not yield higher trial conversion rates. June 2024 recorded peak traffic (9,426 visits) alongside the lowest Visit-to-Trial conversion rate (3.41%), whereas July 2024 recorded lower traffic (5,466 visits) alongside the highest Visit-to-Trial conversion rate (11.21%).
- High Volatility in Product Usage vs. Unchanged Conversion Rates:** Feature adoption and engagement fluctuate significantly across months (Import Data ranges from 23.06% to 94.42%; Modeling ranges from 5.39% to 63.60%; Average Session Duration

ranges from 0.48 min to 11.75 min), yet the Trial-to-Paid conversion rate shows no corresponding variation.

Single Biggest Drop-Off Point

- **By Percentage:** The single largest drop-off occurs at the **Trial-to-Paid Conversion** stage, where **98.01% of trial users drop out** (a 1.99% pass-through rate).
- **By Absolute Volume:** The single largest drop-off occurs at the **Website Visit-to-Trial** stage, where **88,134 out of 94,558 total visitors drop out** before initiating a trial (a 93.21% volume reduction).

Review the output

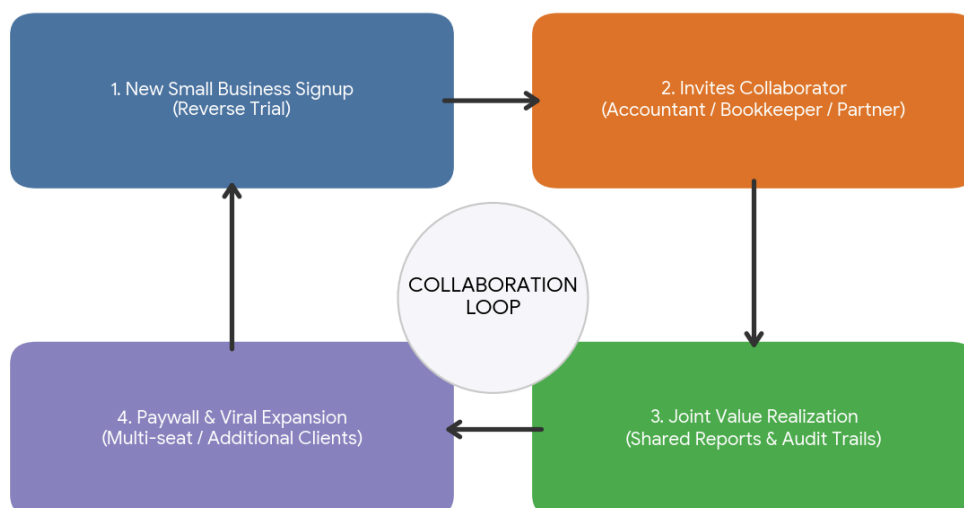
Read the three patterns the LLM identified. Note which surprises you most and why. Where does it say the biggest drop-off occurs? Map it to a Product Funnel stage:



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FinWise Collaboration Growth Loop



1. Reviewing the Data Analysis

- **Most Surprising Pattern: Pattern #3 (High Volatility in Product Engagement vs. Unchanged Conversion Rates).** It is unexpected that massive swings in feature adoption—such as Data Import jumping from 23% to 94% or Modeling adoption jumping from 5% to 63%—have zero measurable impact on the trial-to-paid conversion rate (stuck between 1.87% and 2.08%).
- **Biggest Drop-Off Stage Mapping:**
 - **Relative Drop-Off (98.01% Loss):** Maps to the Activation to Revenue funnel boundary (Monetization stage).
 - **Absolute Drop-Off (88,134 Lost Users):** Maps to the Acquisition stage (Website Visit to Trial conversion).

2. Pressure-Testing the Initial Hypothesis

- **Verdict:** The data challenges the original Exercise 1 hunch.
- **Analysis:** The initial hypothesis assumed that low trial-to-paid conversion was caused by users failing to activate or set up core features. However, in **October 2024, 94.42%** of trial users imported data and **63.60%** engaged in financial modeling, yet the paid conversion rate remained glued at **2.04%**.
- **Refined Thinking:** High product engagement during the reverse trial is already occurring, but it is not translating into monetizable value. The bottleneck is not onboarding usability—it is the reverse-trial feature gating and value paywall structure, which allows users to extract utility for free without encountering a compelling trigger to convert to a paid subscription.

3. The Growth Loop Bet

- **Chosen Loop: Collaboration Growth Loop**
- **Reasoning:** Small business financial management requires active coordination with external stakeholders (accountants, bookkeepers, fractional CFOs, and co-founders). Triggering multi-seat collaboration during the trial embeds FinWise directly into operational workflows, driving high-intent viral acquisition of new clients through external accounting partners.

4. Visualizing the Loop

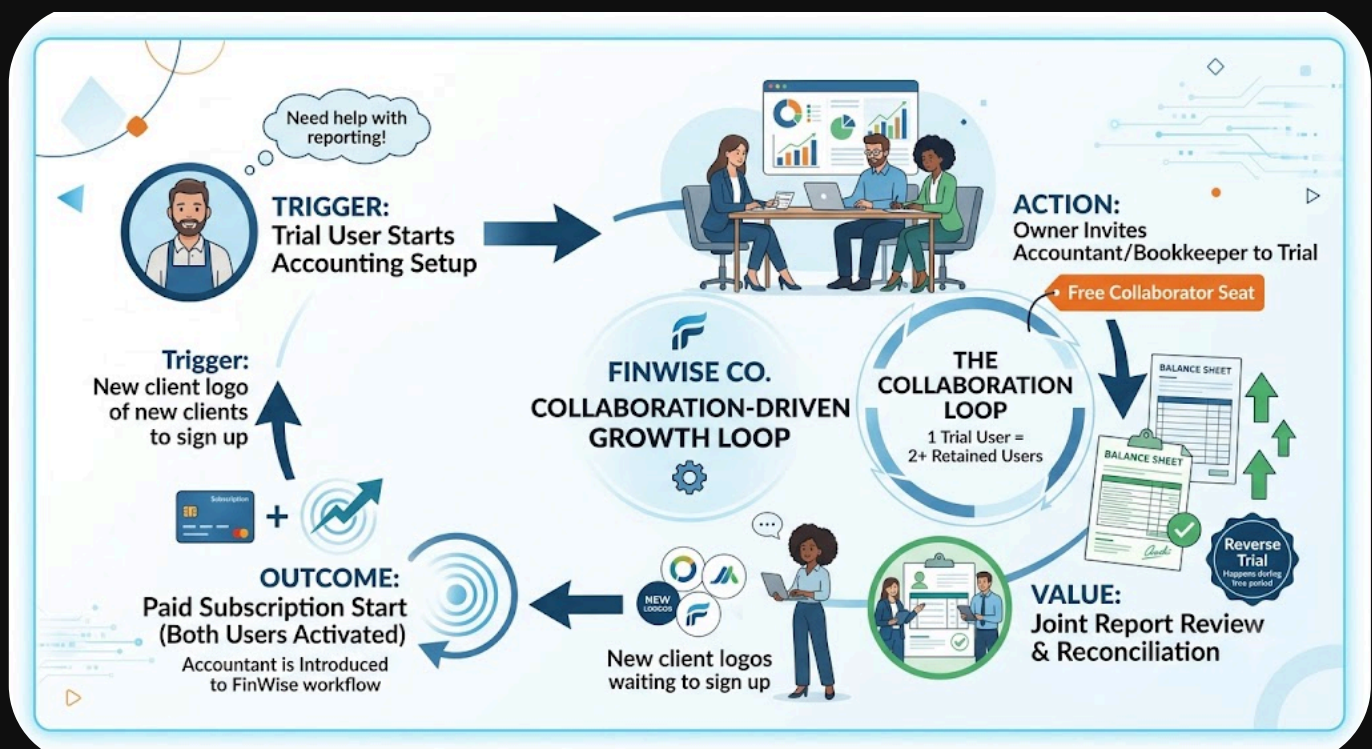
- **Step 1 (New Signup):** A small business owner starts a reverse-trial to manage company finances.
- **Step 2 (Invite Collaborator):** To complete financial reports or audits, the owner invites an external accountant or bookkeeper into the workspace.
- **Step 3 (Joint Value Realization):** Both parties collaborate around automated reporting, balance sheet reconciliations, and shared workflows.
- **Step 4 (Paywall & Expansion):** Shared operational dependencies require ongoing multi-user access, triggering account upgrade upon trial expiration and introducing the invited accountant to FinWise for their other business clients.

used on what you know about FinWise Co. and their product-led growth model, visualize a [your chosen loop type] growth loop for them. Map out the trigger,

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Here is a visualization of a **Collaboration-Driven** growth loop for FinWise Co.

Small business financial management is rarely a solo activity. By focusing on the interplay between the business owner and their essential external partners (Accountants/Bookkeepers), FinWise can create a sustainable, high-retention acquisition loop.



Formalize your hypothesis

Based on the data, I believe FinWise's biggest growth problem is [X]

because [Y], and the highest-leverage experiment I would run first is [Z].

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Based on the data, I believe FinWise's biggest growth problem is a **weak trial value payoff and monetization model (Revenue stage)**

because trial users are already achieving high product engagement during the reverse trial—with data import rates reaching up to 94% and financial modeling reaching 63%—yet trial-to-paid conversion remains stuck flat at ~2% regardless of engagement intensity,

and the highest-leverage experiment I would run first is a **Collaboration-Driven Growth Experiment** that gates multi-seat stakeholder features (such as accountant and bookkeeper shared reporting) behind paid subscription tiers while offering free collaborator seats during the trial to build multi-user operational lock-in.